Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Ecommerce

Exam code: 0450, 0986 & 0264, 0774

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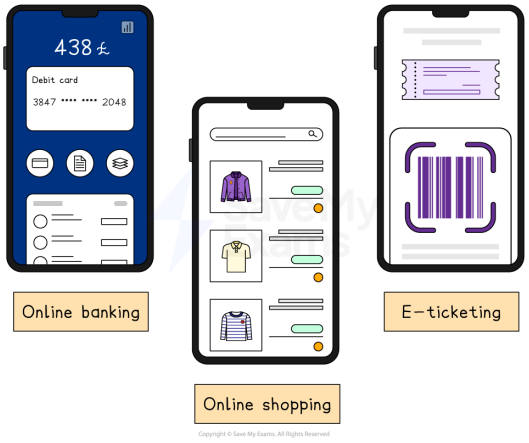
The nature of ecommerce

- **E-commerce is the trade of goods and services over the internet**
  - The rise of e-commerce means customers **increasingly pay online** using payment systems such as Apple Pay and PayPal

Examples of ecommerce



Online banking, shopping and ticketing are examples of ecommerce

- Businesses can sell goods through their **own websites** or via **selling platforms** such as Amazon, Ebay and Etsy
- Financial institutions, such as banks, can provide their service via **mobile apps**
  - Customers can manage their bank accounts, transfer money, manage lending and pay bills online

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Help me understand

Evaluating the use of ecommerce

- E-commerce can make life **more convenient for customers** and is a source of **competitive advantage** for businesses
  - It also provides the **potential** for small businesses to **reach large audiences**
- However, **setting up an webstore or app can be costly**
  - Some consumers may also be concerned about **security risks** of purchasing online

Advantages and disadvantages of ecommerce for businesses and consumers

	Advantages	Disadvantages
Businesses	• Websites provide a **cheap and direct way** to promote products • Businesses can **easily order supplies** and materials online • A clear and user-friendly website can **increase customer purchases** ○ For example, automation can suggest related items • Dynamic pricing allows higher profits during busy periods	• Businesses face **global competition**, making it easy for customers to switch brands • Large warehouses and **efficient stock systems** are needed to meet demand • E-commerce does **not work well for personal services** like beauty treatments or home repairs • The lack of face-to-face contact **limits fast and useful customer feedback**
Consumers	• Online competition helps **lower prices** and allows easy comparison • Paying by credit card or debit card is quick and simple	• Poor internet or **technical problems** can stop customers from buying online • Customers in low-income areas may struggle to

	allow one-click purchases • Shopping online is **convenient** from any place, at any time and on any device • Customers have a **wider choice** from global retailers such as Shein and Temu	infrastructure • Many people worry about **credit card fraud** or identity theft • Products **cannot be tested** before buying, so returns are more common

Examiner Tips and Tricks

Avoid assuming ecommerce suits every business – in exams, stronger answers recognise its limits, such as products that customers prefer to **see or try before buying**

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